

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 20-12

NNABUGWU CHINEDU ANDREW, AVERS LOGISTICS LTD. and CJ DELUZ NIGERIA LTD.,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC., ALLA SOLOVYEVA and RAYA BAKHIREV,

Respondents.

**COMPLAINANTS' BRIEF IN SUPPORT OF
THEIR EXCEPTIONS TO INITIAL DECISION**

Complainants NNABUGWU CHINEDU ANDREW, AVERS LOGISTICS LTD. and CJ DELUZ NIGERIA LTD. ("complainants"), by and through their Counsel, Marcus A. Nussbaum, Esq., pursuant to Rule 227 of the Federal Maritime Commission's ("FMC" or "Commission") Rules of Practice and Procedure, 46 C.F.R. § 502.227, submit the following Brief and Exceptions to the Initial Decision issued in this proceeding by the Presiding Officer on January 24, 2022.

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I. INTRODUCTION

This case was initiated by complainants NNABUGWU CHINEDU ANDREW, AVERS LOGISTICS LTD. and CJ DELUZ NIGERIA LTD. against respondent Non-Vessel Operating Common Carrier (“NVOCC”) MARINE TRANSPORT LOGISTICS, INC. (“MTL”), its President ALLA SOLOVYEVA and Bookkeeper RAYA BAKHIREV wherein complainants allege that respondents violated sections of the Shipping Act of 1984, 46 U.S.C. §40101, *et. seq.* (the “Shipping Act”) and the Commission's regulations at Part 515, which occurred during the course of the parties’ business relationship. Over the course of their approximately three (3) year long relationship, the Complainants, who are automobile dealers located in Nigeria, hired respondents to accept delivery of seventeen (17) automobiles purchased by complainants at automobile auctions located within the United States, and then ship them abroad.

The Complaint alleged that respondents violated section 41102(c) of the Act by *inter alia*: releasing complainants’ automobiles to unauthorized consignees, detaining various automobiles and refusing to ship them due to allegedly unpaid storage charges for other unrelated automobiles; by misdelivering said automobiles; and in one instance, by destroying two automobiles and cutting them in half without receiving instructions from complainants to do so. Most significantly, and as set forth in detail in Complainants’ Brief and Proposed Findings of Fact and Appendix, complainants provided credible evidence (to the extent that it was available since the Presiding Officer allowed respondents to make a mockery out of the discovery process)¹ that respondents were, and still are engaged in unlawful conduct on a normal, customary and continuous basis which amounts to a “practice” related to the receiving, handling,

¹ Without being vituperative, the Commission is respectfully referred to Complainants’ various discovery related motions on this docket and the Presiding Officer’s various orders issued as a result thereof, which demonstrated the Presiding Officer’s failure to comprehend the key issues in this case - - that is reason why the undersigned was left with no choice but to continue to press the issues regarding discovery and make a record for the Commission’s consideration of what was expected to be *another* erroneous Initial Decision, which now requires the instant Exceptions. See, e.g., Document Nos. 18, 21, 24, 26, 28, and 29, wherein the Presiding Officer continued to make erroneous discovery rulings that required clarification or simply *did not make sense* as set forth in detail in complainants’ various motions for reconsideration.

storing, and/or delivering of cargo prohibited by section 41102(c) of the Act. In sum, the Presiding Officer's ID effectively rewarded respondents for their unlawful conduct, to the prejudice of complainants and is contrary to the FMC's stated mission, which includes "...protect[ing] the public from unfair and deceptive practices."

Specifically, and with regard to these seventeen (17) automobiles placed into MTL's custody for shipment during the course of the parties' three (3) year business relationship, respondents herein refused to provide complainants with shipping documents, such as Ocean Liner Bills of Lading, Dock Receipts, MTL House Bills of Lading, Shipper's Export Declarations filed online through Automated Export System ("AES" used by Federal Export Regimes), and invoices for ocean freight.

As set forth in detail in Complainants' Brief and Proposed Findings of Fact and Appendix Respondents also refused to provide complainants with statements of account so that complainants could see how their monies (wired to MTL and held by MTL on behalf of complainants as a deposit for paying ocean freight and others charges after cars were exported) were being applied. Instead respondents had a practice of: a) refusing to follow the Shipper's (complainants') instructions as to how to apply their money; and b) continually keeping complainants in the dark regarding which wire transfers were being applied to particular shipments. This was done so deliberately in order conceal the fact that respondents were, on a regular, customary and continuous basis, misapplying complainants' ocean freight monies in order to cause complainants to unnecessarily accrue storage charges.

Put simply, in the matter at bar, the respondents have continued the same practice of charging excessive storage charges without notice to complainants and keeping complainants in the dark, just like they did previously to another customer (to wit: the complainants in the matter

of Crocus Investments, LLC et al. v. Marine Transport Logistics Inc., FMC Docket No.: 15-04)².

In the first instance, it should be noted that the Initial Decision (“ID”) was reached prior to the development of a full and complete record for reasons set forth in the various motions for reconsideration listed above, to which the Commission is respectfully referred and which, for purposes of brevity will not be regurgitated here. The fact that the ID attempts to now take advantage of the alleged lack of evidence produced by complainants in support of their Shipping Act claims (for example, finding that there is allegedly no evidence to support complainants’ veil piercing allegations against respondents Alla Solovyeva and Raya Bakhirev) is fundamentally unfair, especially when the documents supporting these claims were requested by complainants in discovery; refused by respondents; and the Presiding Officer ultimately refused to compel such production.

The placing of blame upon complainants for respondents’ refusal to provide discovery is prevalent throughout the ID. For example, on the issue of respondents having continually kept complainants in the dark regarding complainants’ monies which were held by MTL on account of complainants, and respondents’ refusal to provide invoices and statements of account - - the ID cites to “numerous email exchanges” between the parties but ignores the fact that no invoices or statements of account were provided by respondents to complainants during the course of their business relationship. Proof that respondents ever even emailed individual invoices to complainants was requested during discovery and was never provided by respondents.

² See, Order Affirming Initial Decision on Remand at p. 2, explaining that on remand, the ALJ determined that Marine Transport acted unreasonably by charging more than its tariff rate to store the Formula boat from August 2013 to February 2014 without advance notice to Crocus. While the Commission found this to be a single incident insufficient to establish a “practice” as required by the Interpretive Rule §545.4 to 41102(c) violations, it is respectfully submitted that the numerous instances of such unreasonable conduct in the matter at bar, together with the unreasonable conduct that took place in the matter of Crocus, supra, do in fact establish a “practice” within the meaning of the Interpretive Rule.

On the issue of MTL's unjust and unreasonable acts and practices, it appears as though the Presiding Officer is actually advocating on behalf of respondents. Even more troubling is the fact that in her rush to 'slam the door' in the face of complainants and the undersigned, the Presiding Officer even confused who are the complainants and who are the respondents in this matter (see, e.g. ID at page "15", arguing that "[i]t appears that **Respondents** did not think they should have to pay storage fees or that they expected to be able to renegotiate the storage fees..." and that "[t]he evidence does not support a finding that **Complainants** refused to ship vehicles based on debts from other unrelated [older] cargo but rather that storage charges accrued on all of the vehicles at issue.").

The Commission is also respectfully asked to consider that the ID may essentially be null and void in that during the process of unfairly advocating on behalf of the respondents, the Presiding Officer violated her own rules and directives as set forth in the Presiding Officer's own Scheduling Order of September 30, 2020, which directed, on page "3" thereof, that the pages of the appendix shall be numbered sequentially, for example CX 1, CX 2, CX 3 or RX 1, RX 2, RX 3, etc. This has now created a situation in which the findings of fact on which the Presiding Officer bases her decision may be based upon documents which respondents never previously produced during discovery and which were produced and/or created by respondents *for the first time*, as part of Respondents' Brief and Appendix filed on September 28, 2021.

Since respondents failed to follow the Presiding Officer's directives, Complainants raised this issue in their Brief and Proposed Findings of Fact and Appendix (see, e.g., Brief at p. 6, Fn. 2 and Proposed Findings of Fact at p. 2 - - explaining that the documents which are relied upon by complainants and that were identified as documents which were *actually* produced by respondents in discovery have now been included by complainants and marked with the "RX" prefix).

Instead, the Presiding Officer essentially forgives respondents' ignorance of her directives and accepts as admissible and credible documentary evidence the very documents which respondents relied upon in their Brief and which Respondents failed to establish were ever *actually* produced by them during discovery in this matter (and which complainants argued were produced and/or created *for the first time*, as part of Respondents' Brief and Appendix filed on September 28, 2021).³

In sum and substance, and while advocating on behalf of respondents, the Presiding Officer did respondents' own homework for them and on her own, she numbered (as "Respondents' Appendix...") on respondents' own behalf, the very documents that respondents may never have previously provided during discovery and which were relied upon both by respondents and the Presiding Officer as admissible and credible evidence for findings of fact in the ID.

While Complainants were expected to comply, to the letter, with each and every rule and directive of the Presiding Officer (at risk of having evidence excluded), it is regrettably apparent that respondents' compliance with the rules and directives of the Presiding Officer was *optional*. Respondents could have addressed this issue in their Brief, Proposed Findings of Fact and Appendix in response to complainants' objections and they declined opportunity to do so - - again this failure was forgiven by the Presiding Officer, giving respondents the unfair advantage of relying upon documents which otherwise would have been rejected and not considered by the Presiding Officer if complainants would have followed the same course of conduct with regard

³ See the ID at p. 4, Fn. 2 with the Presiding Officer's cursory footnote that explaining that respondents "...failed to include page numbers on the exhibits in the appendix. For ease of reference, the exhibits are treated as numbered beginning with the first page in each exhibit."

to their own documentation produced in this matter. This issue was raised in Complainants' Response to Respondents' Proposed Findings of Fact.⁴

Further and with regard to respondents' failure to provide relevant discovery and documents in this matter (which the Presiding Officer directed the parties to address in their Briefs, by Order of July 2, 2021, explaining that "[a]ny party who believes the other party did not provide relevant requested discovery should raise those arguments in their briefs as previously instructed"), the Order of July 2, 2021 was issued in response to Complainants' Motion for Reconsideration of Order on Motions to Compel and Order Requiring Briefing, and for Other Relief with Appendix, which was filed by Complainants on June 17, 2021. Complainants explained in their Brief of August 31, 2021 (starting on p. 23 thereof) that as stated in Complainants' June 17, 2021 Motion for Reconsideration, the complainants still have not received the Ocean Liner Bills of Lading, Dock Receipts, MTL House Bills of Lading, Shipper's Export Declarations filed online through AES, and invoices for ocean freight (together with proof of when and to whom they were presented and how they were paid) for four automobiles at issue in the Complaint, to wit:

MAKE	MODEL	YEAR	VIN ENDING IN
Lexus	GS 300	2006	6993
Toyota	Avalon	2007	5968
Toyota	Venza	2010	0283
Toyota	Camry	2004	2288

⁴ Complainants' Response to Respondents' Proposed Findings of Fact of October 13, 2021 contains numerous objections, ignored by the Presiding Officer, which explain that as a result of respondents' deliberate failure to comply with basic rules of discovery and the directives of the Presiding Officer's Scheduling Order of September 30, 2020, paragraph "2" of which required that "[e]ach factual proposition shall be followed by exact citation to evidence that the party contends will support the proposed finding of fact ... "; paragraph "4(e)" of which required respondents to cite to a document in an appendix already in the record rather than include the same document in its own appendix; and paragraph "4(b)" of which required respondents to number the pages of their appendix sequentially with a prefix of "RX" in these proceedings; and further due to respondents already having been exposed for producing false invoices, bills of lading and emails in these proceedings and others (multiple copies of which have conflicting information making it impossible to ascertain the "true" version), it is impossible for complainants to ascertain whether or not the documents referenced in this respondents' proposed finding of fact were actually produced by respondents as part of the hundreds of pages of documents produced by them during discovery.

As can be seen from even a cursory review of the ID, the Presiding Officer completely sidesteps and ignores the alleged Shipping Act violations with regard to these vehicles as well as complainants' attempts, during the course of discovery in this matter to obtain relevant discovery regarding these cars - - disturbingly, they were simply 'swept under the rug' by the Presiding Officer in her rush to dispose of this case and were not addressed at all.

Moreover, while advocating on behalf of respondents, the Presiding Officer argues that complainants allegedly failed to pick up vehicles when given the opportunity to do so - - this could be *not further from the truth*. In making this argument with regard to container TCNU2645133, the Presiding Officer ignored the chain of emails between respondent's counsel and the undersigned (e.g. FF# 23) wherein Mr. Pogil advises on June 22, 2018 that he:

“...made sure that these cars would be released to [complainants] and not to somebody else, and it's my understanding that your client can pick them up without making any additional payment with respect to this container”

and that subsequent to the foregoing email, MTL's agent at the port of destination advises the undersigned that in response to the undersigned's multiple requests for release of the container on June 29, 2018 (CX0127) and July 3, 2018 (CX0126), MTL's agent ultimately refuses to release the container and refers the undersigned to “...contact MTL in America to assist...” The Presiding Officer's argument that it was complainants who refused to pick up the container simply makes no sense and makes a fool out of the complainants and the Commission.⁵ Also, and up until the time of the filing of Respondents' Brief and Appendix, respondents never raised the issue of complainants' alleged refusal to pick up vehicles in container TCNU2645133, which

⁵ Moreover, while advocating on behalf of respondents, the Presiding Officer makes an argument which requires the reader to temporarily suspend their belief in the laws of physics on the issue of MTL allegedly not having damaged any of the vehicles (complainants argue that two cars were cut in half in order for MTL to fit them into a 40 Ft High Cube Container which also contained three other vehicles). It is not possible to fit the five automobiles (identified by make and model) into a 40 Ft High Cube Container without cutting the cars in half. Even if it were plausible to actually fit the cars in half, the Presiding Officer's reasoning is based upon photos produced by respondents for the first time in their Respondents' Brief and Appendix and which are not the photos of the same cars at issue herein and which were produced by respondents for the first time in their Proposed Findings of Fact, Brief and Appendix of September 28, 2021. See, e.g. Complainants' Response to Respondents' Proposed FF#'s 40-43, 45.

the Presiding now adopted as a novel theory in the ID in support of denying complainants' Shipping Act claims.

As to the balance of the arguments set forth in the ID (to wit: the alleged absence of conduct occurring on a normal customary and continuous basis and the alleged absence of proximate cause) the ID misses the entire point regarding respondents' continuous practice of keeping complainants in the dark regarding the application of complainants' monies for shipping, storage and other charges.

ARGUMENT

A. THE COMMISSION IS RESPECTFULLY ASKED TO REVIEW THE INITIAL DECISION

The ID states on page "1" thereof that it will become the decision of the Commission in the absence of review by the Commission. As of the time of this writing, there has not been any notification of an intent by the Commission to review the ID *sua sponte*. The purpose of these Exceptions are to make a record of key issues raised by the ID and to request that the Commission now review the decision. As the Commission is aware, the complainants reside in Nigeria, which is a country subject to severe financial hardship. It is fundamentally unfair for complainants, who are of limited means and resources (as well as the undersigned, a solo practitioner whose resources and time are also limited) to be expected to now sift through and identify all reversible errors in the Initial Decision (which as stated above even confuses who are complainants and who are respondents).

For the foregoing reasons, the Commission is respectfully asked to review the ID and take into consideration all arguments and evidence previously set forth in Complainants Brief and Proposed Findings of Fact and Appendix filed on August 31, 2021 (Document Nos.: 30 and 31), and Complainants' Reply Brief and Response to Respondents' Proposed Findings of Fact filed on October 13, 2021 (Document Nos.: 35 and 36) which for purposes of brevity are not

copied and pasted into the instant Exceptions but rather are incorporated herein in their entirety and made part of these Exceptions by reference.

CONCLUSION

For the reasons set forth above, Complainants request that the Commission reverse the challenged findings of the ID in this proceeding, and take other measures as necessary.

WHEREFORE, for the reasons set forth above, Complainants request that the Commission reverse the challenged findings of the ID in this proceeding, and take other measures as necessary.

Dated: February 15, 2022
Brooklyn, New York

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' BRIEF IN SUPPORT OF THEIR EXCEPTIONS TO INITIAL DECISION** upon Respondents at the following address:

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Dated: Brooklyn, New York
February 15, 2022